



CHAPTER 20.

An Act to make financial provision for the purpose of facilitating the production, equipment, repair, alteration and acquisition of houses and other buildings, and to make provision for limiting the price for which certain houses may be sold and the rent at which certain houses may be let. [20th December 1945.]

BE it enacted by the King's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Expenses of the Minister of Works.

1.—(1) Subject to the provisions of this Act, the Treasury Advances to may, out of the Consolidated Fund of the United Kingdom or Minister of Works, the growing produce thereof, advance money to the Minister of Works (hereinafter referred to as "the Minister") for the purpose of defraying expenses of the Minister in performing any of the following functions, that is to say—

- (a) purchasing building materials and purchasing permanent equipment for buildings ;
- (b) making and carrying out arrangements for the production and distribution of any such materials or equipment ; and
- (c) carrying out, on behalf of and at the request of any local authority, work undertaken by the authority in connection with the exercise of their powers to provide housing accommodation under Part V of the Housing Act, 1936.

26 Geo. 5 &
1 Edw. 8. c. 51.

(2) No sums shall be advanced under this section after the end of September, nineteen hundred and fifty.

(3) The total amount advanced under this section, exclusive of any sums which have been repaid, shall not at any time exceed one hundred million pounds.

(4) Any advances made under this section shall be made upon such terms as to the payment of interest, and shall be repayable at such times, as the Treasury may determine.

2 & 3 Geo. 6.
c. 117.

(5) For the purpose of providing money to be advanced under this section, the Treasury may at any time, if they think fit, raise money in any manner in which they are authorised to raise money under the National Loans Act, 1939; and any securities created and issued to raise money under this subsection shall be deemed for all purposes to have been created and issued under the National Loans Act, 1939.

(6) In this section, the expression "local authority" means any local authority for the purposes of the Housing Acts, 1936 to 1944.

The Building
Materials and
Housing
Fund.

2.—(1) There shall be established, in accordance with directions of the Treasury, a fund, to be called the Building Materials and Housing Fund, which shall, subject to the provisions of this Act, be under the control and management of the Minister.

(2) There shall be paid into the Fund—

- (a) all sums advanced to the Minister under this Act; and
- (b) to such extent as the Treasury may direct, any receipts of the Minister in connection with the performance of the functions specified in section one of this Act.

(3) There shall be paid out of the Fund—

- (a) any sums paid by the Minister, whether on account of principal or interest, in respect of advances under this Act; and
- (b) to such extent as the Treasury may direct, any expenses of the Minister in performing the functions specified in section one of this Act.

(4) The Fund shall be closed at such time after the end of September, nineteen hundred and fifty, as the Treasury may direct, and upon the closing of the Fund the provisions of this Act relating to payments into and out of the Fund, except those provisions which expressly relate to the sums standing to the credit of the Fund when it is closed, shall cease to have effect.

(5) The Minister shall, as respects each financial year beginning with that in which sums are first advanced to him under this Act and ending with that in which the Fund is closed, prepare an account of receipts into and payments out of the Fund in such form and manner as the Treasury may direct.

Any account prepared under this subsection shall, on or before the thirtieth day of November next following the expiration of the financial year in question, be transmitted to the Comptroller and Auditor General, who shall examine and certify the account and lay copies thereof, together with his report thereon, before Parliament.

3.—(1) If the Minister has purchased building materials consisting of structures ready for erection as houses, and the Minister of Health, being satisfied that the cost of constructing houses from those materials substantially exceeds the cost of constructing houses of a similar size by traditional methods, has approved arrangements made by the Minister—

Payments into
Building
Materials and
Housing Fund
by the
Minister of
Health.

- (a) for selling such building materials to local authorities at prices fixed otherwise than by reference to their cost ; or
- (b) for constructing houses from such materials for local authorities at charges which are less than the full cost of construction ;

the Minister of Health shall, out of moneys provided by Parliament, make such payments into the Building Materials and Housing Fund as the Treasury may determine to be necessary for the purpose of securing that the receipts of the Fund are no less than they would have been if the arrangements had been such as to secure that the Minister would incur no loss and make no profit in the execution thereof.

(2) For the purposes of this section, the cost of constructing a house shall include the cost of the building materials used in the construction thereof.

4.—(1) All sums paid by the Minister to the Treasury in respect of advances under this Act, whether on account of principal or interest, shall be paid into the Exchequer.

Supplemen-
tary provisions
as to Building
Materials and
Housing Fund.

(2) Any amount standing to the credit of the Building Materials and Housing Fund when it is closed shall be paid into the Exchequer, and, if any sums are then due from the Minister, whether on account of principal or interest, in respect of advances under this Act, shall be applied in or towards the satisfaction of those sums.

(3) If after the Fund has been closed and after account has been taken of the amount, if any, which falls to be applied in accordance with the last preceding subsection, any sum is payable by the Minister, whether on account of principal or interest, in respect of advances under this Act, that sum shall be defrayed out of moneys provided by Parliament.

(4) All sums paid into the Exchequer under this section shall be issued out of the Consolidated Fund of the United Kingdom at

such times as the Treasury may direct and shall be applied by the Treasury as follows—

- (a) so much of the said sums as represents interest shall be applied in paying interest which would, apart from this paragraph, have fallen to be paid out of the permanent annual charge for the National Debt ; and
- (b) save as aforesaid, the said sums shall be applied in redeeming or paying off debt of such description as the Treasury think fit.

Increase of
sums available
for defraying
expenses
under 7 & 8
Geo. 6. c. 36.

5. The limit upon the sums which the Treasury may issue out of the Consolidated Fund of the United Kingdom for the purpose of defraying expenses incurred by the Minister in connection with the manufacture, construction or erection of structures under arrangements made with him by the Minister of Health or the Secretary of State under section one of the Housing (Temporary Accommodation) Act, 1944, shall be increased by fifty million pounds ; and accordingly, in subsection (1) of section eight of that Act, for the words " one hundred and fifty million pounds " there shall be substituted the words " two hundred million pounds ".

Powers of local authorities to provide financial assistance.

Extension of
powers of
local author-
ities to give
financial
assistance
towards
acquisition,
construction,
etc., of
houses.

25 & 26 Geo. 5.
c. 40.

6.—(1) The limit fixed by subsection (1) of section ninety-two of the Housing Act, 1935, on the market value of houses in respect of which an advance may be made under the Small Dwellings Acquisition Acts, 1899 to 1923, shall, in relation to an advance made after the date of the passing of this Act, be increased from eight hundred pounds to fifteen hundred pounds.

(2) Subsection (4) of section ninety-one of the Housing Act, 1936 (which provides that an advance or guarantee under that section shall not be made or given if the estimated value of the fee simple in possession free from incumbrances of the house in respect of which the advance or guarantee is to be made or given exceeds eight hundred pounds) shall, in relation to an advance or guarantee made or given after the date of the passing of this Act, have effect as if for the words " eight hundred pounds " there were substituted the words " fifteen hundred pounds ", and the provisions of that subsection relating to flats shall have effect accordingly.

Rent and purchase price of houses.

Limitation
of rent and
purchase
price of
houses
constructed
under certain
building
licences.

7.—(1) Where a house has been constructed under the authority of a licence granted for the purposes of a Defence Regulation (hereinafter referred to as " a building licence ") and the licence, whether granted before or after the passing of this Act, has been granted subject to any condition limiting the price for which the house may be sold or the rent at which it may be let, any person who, during the period of four years

beginning with the passing of this Act, sells or offers to sell the house for a greater price than the price so limited (hereinafter referred to as "the permitted price"), or, as the case may be, lets or offers to let the house at a rent in excess of the rent so limited (hereinafter referred to as "the permitted rent"), shall be liable on summary conviction to a fine not exceeding the aggregate of—

(a) such amount as will in the opinion of the court secure that he derives no benefit from the offence; and

(b) the further amount of one hundred pounds;

or to imprisonment for a term not exceeding three months, or to both such fine and such imprisonment.

(2) For the purposes of this section, a house shall be deemed to have been let at a rent in excess of the permitted rent if the total rent payable by the tenant in respect of any part of the period for which the house is let exceeds the total rent which would have been payable by him in respect of that part of the said period if the house had been let at the permitted rent.

(3) Where a house is sold for a consideration which consists wholly or partly of something other than the payment of a money price for the house, and it appears to the court that the whole of the consideration is capable of being expressed in terms of such a price, the court shall assess the total value of the consideration upon the assumption that the transaction is carried out in accordance with its terms, and the price shall be deemed to be such sum as, if paid at the time of the sale, would in the opinion of the court represent a benefit equivalent to the said total value.

(4) Where a house is let for a consideration which consists wholly or partly of something other than the payment of a money rent for the house, and it appears to the court that the whole consideration is capable of being expressed in terms of money, the court shall assess the total value of the consideration upon the assumption that the transaction is carried out in accordance with its terms, and shall determine a rent which appears to the court to represent a benefit equivalent to the said total value, and the rent so determined shall be deemed for the purposes of this section to be the rent at which the house was let.

(5) In determining for the purposes of this section the consideration for which a house has been sold or let, the court shall have regard to any transaction with which the sale or letting is associated, and if it appears to the court that the benefits secured by that transaction to the vendor or lessor exceed what they would have been if the house had not been sold or let for the consideration for which it was in fact sold or let, that consideration shall be deemed to be increased by such sum as fairly represents the excess.

(6) Where any person sells, lets, or offers to sell or offers to let a house together with any other property, the court shall, for the purpose of determining whether an offence has been committed against this section, make such apportionment of the consideration as the court thinks just.

(7) Where proceedings are taken for an offence against this section, the court shall have the following powers, that is to say :—

- (a) where any fine imposed by the court includes any such amount as is mentioned in paragraph (a) of subsection (1) of this section, the court may, if having regard to the circumstances the court thinks it just so to do, direct that the whole or any part of that amount, when paid or recovered, shall be paid over to any person who is shown to the court to have given, or to be liable to give, a consideration in excess of the permitted price, or, as the case may be, in excess of the permitted rent, in respect of the house in question ;
- (b) where any person is convicted of the offence of letting a house at a rent in excess of the permitted rent, the court may, if the interest created by the letting has not expired at the time of the conviction, make such modifications of the terms and conditions of the letting as in the opinion of the court are necessary for the purpose of securing that the rent payable in respect of periods falling after the date of the conviction does not exceed the permitted rent ; and
- (c) where any person is convicted of the offence of selling a house at a price in excess of the permitted price, the court may, if any sums remain payable on account of the price at the time of the conviction, make such modifications of the terms and conditions of the sale as in the opinion of the court are necessary for the purpose of securing, so far as practicable, that the price does not exceed the permitted price.

(8) Subject to the provisions of the last preceding subsection, the commission of an offence under this section shall not affect the title to any property or the operation of any contract.

Registration of conditions imposed by building licences, and duties of local authorities. 15 & 16 Geo. 5. c. 22. 16 & 17 Geo. 5. c. 11.

8.—(1) Where a building licence has been granted, whether before or after the passing of this Act, subject to any condition limiting the price for which a house may be sold or the rent at which it may be let, section fifteen of the Land Charges Act, 1925, as amended by the Law of Property (Amendment) Act, 1926, shall have effect as if the condition were a local land charge acquired by the local authority in the area of which the house is situated, and it shall be the duty of the proper officer of the local authority to register the condition accordingly.

(2) It shall be the duty of every local authority to take such measures as they think necessary for securing the enforcement, in relation to houses within the area of the authority, of the provisions of this Act relating to the permitted price and permitted rent for houses.

(3) In this section the expression "local authority" means the council of any county borough, county district or metropolitan borough, and the Common Council of the City of London.

Supplementary.

9.—(1) In this Act the following expressions have the meanings hereby respectively assigned to them— Interpreta-
tion.

"Building materials" includes any product which, or a derivative of which, is capable of being used to form part of a building or of any works preparatory or incidental to the provision of a building, or of being used for preserving or finishing a building or a part of a building, and includes any structure ready for erection as a building or as part of a building ;

"Defence Regulation" means a Defence Regulation made under the Emergency Powers (Defence) Acts, 1939 to 1945, and includes any Regulation so made which has continued to have effect, whether with or without variations, under the provisions of any other enactment ;

"Permanent equipment for buildings" means any article which is intended to be provided for permanent enjoyment with a particular building.

(2) For the purposes of this Act, the expenses of the Minister in performing the functions specified in section one of this Act shall be deemed to include any expenses of the Minister which are incidental to the performance of those functions, and shall be deemed to include such amounts as may be determined by the Treasury to be reasonable—

(a) on account of any premises, supplies or services provided by or for the service of any Government department and used in connection with the performance of those functions ; and

(b) on account of expenses which fall or may ultimately fall to be borne in providing benefits under the Superannuation Acts, 1834 to 1943, in respect of persons who have been employed in connection with the performance of those functions.

(3) For the purposes of this Act—

(a) a person sells a house if he sells or agrees to sell any interest in the house ;

(b) a person lets a house if he demises the house or agrees to demise it ; and

(c) the expression "house" includes a flat, and any structure constructed for use as a dwelling.

(4) In determining for the purposes of this Act whether any person has sold or offered to sell a house for a price in excess of the permitted price, or has let or offered to let a house at a rent in excess of the permitted rent, any property which, in the absence of express provision, would pass upon a conveyance of the legal estate in fee simple in the house, and any yard garden outhouses and appurtenances usually enjoyed with the house, shall be deemed to form part of the house.

Application to
Scotland.

10.—(1) This Act shall apply to Scotland subject to the modifications contained in the subsequent provisions of this section.

(2) For any reference (except in section five) to the Minister of Health there shall be substituted a reference to the Secretary of State.

15 & 16 Geo. 5.
c. 15.

25 & 26 Geo. 5.
c. 41.

(3) For any reference to the Housing Acts, 1936 to 1944, there shall be substituted a reference to the Housing (Scotland) Acts, 1925 to 1944; for any reference to Part V of the Housing Act, 1936, there shall be substituted a reference to Part III of the Housing (Scotland) Act, 1925; for any reference to section ninety-two of the Housing Act, 1935 there shall be substituted a reference to section eighty-three of the Housing (Scotland) Act, 1935; and for any reference to the Small Dwellings Acquisition Acts, 1899 to 1923, there shall be substituted a reference to the Small Dwellings Acquisition (Scotland) Acts, 1899 to 1923.

(4) Section one shall have effect as if after paragraph (c) of subsection (1) the following paragraph were inserted:—

2 & 3 Geo. 6.
c. 3.

“(d) carrying out on behalf of the Scottish Special Housing Association (being the association approved for the purposes of section two of the Housing (Financial Provisions) (Scotland) Act, 1938) work undertaken by that Association in connection with the provision by them of housing accommodation for the working classes.”

(5) In section three any reference to a local authority shall include a reference to the Scottish Special Housing Association.

(6) For subsection (2) of section six there shall be substituted the following subsection:—

“(2) Subsection (4) of section seventy-five of the Housing (Scotland) Act, 1925, as amended by section sixty-seven of the Housing (Scotland) Act, 1935, (which subsection as so amended provides that an advance or guarantee under the said section seventy-five shall not be made or given in respect of a house the value of which exceeds eight hundred pounds) shall in relation to an advance or guarantee made after the date of the passing of this Act have effect as if for the limit of eight hundred pounds there were substituted a limit of fifteen hundred pounds and the provisions of the said subsection relating to flats shall have effect accordingly”.

(7) For any reference to the legal estate in fee simple there shall be substituted a reference to the estate or interest of the proprietor of the *dominium utile* or, in the case of property other than feudal property, of the owner.

(8) In section eight the expression "local authority" means a county or town council and nothing in subsection (2) of the said section shall be construed as authorising a local authority to institute proceedings for an offence against this Act.

11.—(1) Sections three, five, six and eight of this Act shall not extend to Northern Ireland; and this Act shall, in its application to Northern Ireland, have effect as if paragraph (c) of subsection (1) of section one were omitted therefrom. Application to Northern Ireland.

(2) In the application of this Act to Northern Ireland, section seven thereof, and so much of section nine thereof as relates to the said section seven, shall be deemed for the purposes of section six of the Government of Ireland Act, 1920 (which relates to the power of the Parliament of Northern Ireland to make laws), to be provisions of an Act passed before the appointed day. 10 & 11 Geo. 5. c. 67.

12. This Act may be cited as the Building Materials and Housing Act, 1945.